Micron Technology, Inc.

MU NASDAQ

Buy **$857.68** ▼ 0.39%

12M Price Target **$1050.00**

52-Week Range $113.46 – $1255.00

Market Cap $968.66B

MU: Memory Crunch Extends, But Stock Consolidating Near Highs

WHAT HAPPENED

- MU has drifted down about 4% over five sessions from $893 to $857 — this is textbook consolidation after a monster run (stock is up ~7x from the 52-week low of $113). Nothing broke; the tape just needed to breathe.
- JPMorgan came out yesterday saying the memory chip crunch could last TWO MORE YEARS — that's a huge tailwind that the market is barely reacting to today, which tells me either it's already priced in or investors are still digesting it.

WHY IT MATTERS

Here's the thing that jumps out: options flow is screaming bullish (put/call ratio of 1.96 sounds bearish on the surface, but the UNUSUAL activity is all on the CALL side at $910 and $970 strikes — someone with real money is betting on a bounce back to prior highs within weeks). Combine that with JPMorgan's 2-year crunch call and Micron "gaining share" per the 24/7 Wall St piece, and this pullback looks like profit-taking, not a trend change. The insider selling from Tysoe is a nothingburger — he exercised options granted at $27 and sold at $199 (which was months ago), that's just diversification after a lifetime of gains. Bottom line: when a hyperscaler-exposed memory name pulls back 4% while sector news gets MORE bullish, you lean in.

POLICY & POLITICAL WATCH

CHIPS Act money is still flowing to Micron — they were awarded roughly $6.1B in federal grants for their Idaho and New York fabs, and any Trump-era attempt to claw that back has largely fizzled because the projects create red-state jobs. The bigger swing factor right now is US-China export controls: the administration is weighing tighter restrictions on advanced memory (HBM) sales to Chinese AI firms, which sounds bad but actually HELPS Micron by locking Chinese competitors like CXMT out of leading-edge tech. Watch for any tariff escalation announcement in the next 2 weeks — Micron does about 10% of revenue in China, so a tit-for-tat retaliation is the real risk.

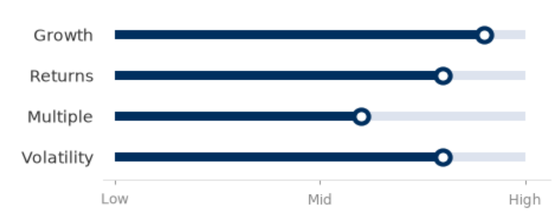
IS IT EXPENSIVE?

At $858 with ~$28 in forward earnings, you're paying about 30x next year's profits — that's not cheap for a memory company historically (they usually trade 10-15x at cycle peaks), but memory is no longer a pure commodity thanks to HBM (high-bandwidth memory for AI chips) where Micron has pricing power. If you believe the JPMorgan 2-year crunch call, earnings estimates are too low and the real forward P/E is more like 20x — that's reasonable. The stock is at 65% of its 52-week range, which means there's room to run back to $1,255 if the cycle extends.

Key Data

Price (USD)	**$857.68**
12M Price Target	**$1050.00**
Upside / (Downside)	**+22.4%**
Market Cap	**$968.66B**
FY2026E Revenue	**$52,000M**
FY2027E Revenue	**$68,000M**
FY2026E EPS	**$28.50**
FY2027E EPS	**$42.00**
Fwd P/E	**30.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-08-11 13:56 UTC

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$950.00**	$880.00	**$780.00**
6 Months	**$1150.00**	$980.00	**$720.00**
1 Year	**$1350.00**	$1050.00	**$650.00**
2 Years	**$1600.00**	$1200.00	**$550.00**
5 Years	**$2200.00**	$1500.00	**$450.00**
10 Years	**$3500.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+1% today) and Healthcare (+4.5% over 5 days) — money is rotating into defensive growth as investors take profits from the AI trade. Materials also strong on infrastructure spending momentum.

COOLING OFF: Technology basically flat on the week (-0.16%) — the AI trade is taking a breather after a huge Q2 run, which is exactly what MU's chart is showing.

ROTATION WATCH: Money is temporarily leaving semis for healthcare and industrials, but this looks like a rotation-not-a-reversal — the AI infrastructure buildout thesis is intact. Watch if tech ETFs break their 50-day moving average; that would signal something bigger.

RELATED PLAY: If you believe the memory crunch story, SK Hynix (has ADRs) is the pure-play but riskier. The safer second-order bet is data center REITs like EQIX or DLR — they benefit whether Micron or Samsung wins the HBM race.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingpin — every HBM chip Micron sells basically goes onto an Nvidia GPU, so they move together.
- AVGO (Broadcom): Custom AI chip demand from hyperscalers keeps ripping; benefits from same capex wave as MU.

MU CONTEXT: Micron is slightly lagging the mega-cap AI names in the last week but has massively outperformed them over 12 months (up ~7x). That's normal after a huge run — the leaders consolidate while the market decides if the story extends. If NVDA reports strong data center numbers in a few weeks, MU rips right along with it.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Pounding the table on the multi-year memory supercycle thesis, but respecting that we're not at the bottom anymore so sizing matters.

POSITION SIZE: 3-5% of portfolio — high enough to matter, low enough that a 30% drawdown doesn't ruin your year (and memory stocks WILL have 30% drawdowns).

ENTRY POINTS: I'd scale in around $820-850 on tech-wide pullback days. If we get a broader market swoon that takes MU to $780, back up the truck.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is HBM4 ramp in 2026-2027 and continued hyperscaler capex guidance on quarterly calls.

WHEN TO BAIL: If Micron's next earnings shows HBM pricing rolling over, OR if any hyperscaler announces a capex cut, OR if the stock breaks below $720 on high volume — that's the technical line.

HEDGING: Buy a small SOXX (semiconductor ETF) put position as insurance — cheaper than MU puts and hedges the whole sector risk. Or just trim 25% if we get back to $1,100+ to lock in gains.